Initiation defense - explicit judgment and conditions

Alex Schwanke confirms INITIATE at the September 14, 2026 close of $333.08, for a fund with no position and a proposed 3-5 year horizon. On October 16 he explicitly accepted buying at this price despite the limited upside to the extended high case and authorized the assistant to propose numerical thresholds. No trade or allocation is executed.

The strongest supportable argument

Apple Intelligence may increase upgrade frequency, premium mix and ecosystem retention. The September 14 Siri release supports the existence of new capabilities; it does not establish monetization. The operating model translates the thesis into hardware/Services growth, margins and investment costs. The thesis needs high-case execution AND durable excess returns beyond the five explicit years. Neither Jess's approval nor a feature announcement independently proves those assumptions.

The high case uses iPhone growth18/16/14/12/10%, Services20/18/16/14/12%, Products margin41%, Services margin80%, R&D10% and PP&E investment4.5% of sales. WACC8.5%, terminal growth3% and incremental terminal ROIC40% are selected assumptions. Another15 years of growth fade after year5 produces $350.48; this embeds roughly a20-year economic runway. The same five-year high operating case with an immediate mature terminal convention is only $254.38. Duration and return persistence are decisive.

Entry discipline and asymmetry

Diagnostic	Result	Interpretation
Proposed minimum valuation upside	5%	Selected for this draft under Alex's authorization; not an existing fund mandate
Value required at $333.08	$349.73	Current value needed to meet that hurdle
Extended high scenario	$350.48	5.22% upside; narrowly clears hurdle
Maximum entry under this high-case hurdle	$333.79	Not an order, expected future price or margin of safety to core value
Core high / base / low	$254.38 / $147.09 / $73.18	-23.6% / -55.8% / -78.0% relative to price

The5% hurdle is deliberately modest and offers no separate cushion beyond the chosen high-case valuation. It is not a5% annual expected return: these are valuations at the same date, with discount rates already inside the DCF. A strong operating outcome with a shorter runway remains insufficient. No valuation assumptions were changed to make the selected hurdle pass.

As a diagnostic only, a two-state blend of the extended high value and base value would need 91.4% weight on the high outcome merely to equal the price. This is not a forecast probability, a valuation method adopted by the project, or a recommendation to average methods. More severe outcomes make the asymmetry worse. Alex accepts the initiation stance; the evidence does not establish that high probability or a protected expected return.

Conditions and monitoring proposals

Review at each earnings release and immediately after material feature, regulatory or capital-cost changes. Use published category revenue/margin and investment disclosures; separately seek credible adoption, upgrade and retention evidence. Do not attribute all iPhone or Services growth to AI. Compare actual execution with the paths above and cost conversion; future evidence belongs to monitoring, not to the September14 information set.

Investigate/re-underwrite if Services growth falls below6% for two consecutive reported quarters, Products gross margin below35%, or R&D exceeds12% of sales without corresponding operating-profit/cash conversion. These are assistant-proposed downside rules, not reported company guidance or historical observations. Reconsider initiation if disappointing AI usage produces no credible incremental upgrade/retention benefit; that qualitative reversal comes directly from Alex. Revalue if WACC, investment requirements or persistent returns change. No automatic stop-loss or allocation policy is asserted.

Committee ask

Initiate at the dated price as Alex's explicit, bullish judgment, with the5% upside hurdle tied to an extended high scenario and the downside asymmetry presented openly. The committee is being asked to accept a demanding growth-persistence thesis; it is not being told that the core model proves undervaluation. If the committee requires stronger protection or independently evidenced expected value, current evidence does not meet that standard. Record that disagreement rather than changing forecasts or inventing probabilities.